

Done!

Cambridge
International
AS & A Level

Cambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

ECONOMICS

Paper 3 Multiple Choice

9708/32

May/June 2016

1 hour 15 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.
DO NOT WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.



Zarale Mustaq

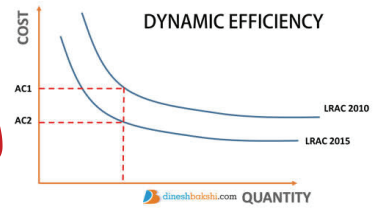
Solved with reasons!

This document consists of **10** printed pages and **2** blank pages.

2 External Economies of scale [downward shift in LRAC]

1 What action by a firm is most likely to raise its dynamic efficiency?

- A distributing all its current profit to its existing shareholders
- B maximising the labour productivity of its current workers
- C minimising the average cost of producing its current output (internal)
- ☒ D retaining its current profit for product research and development



↳ affecting the industry

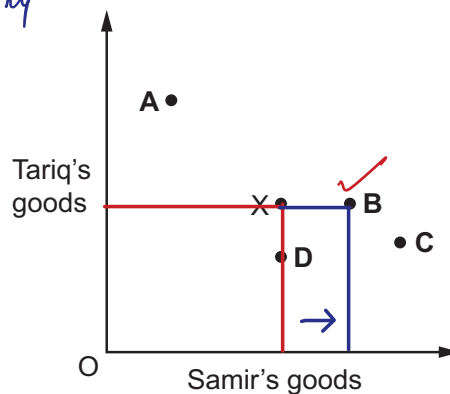
2 The current distribution of goods between two individuals in a two-person economy with given technology and resources is at point X.

According to the Pareto criterion, which point would definitely indicate increased allocative efficiency?

Increasing Qty of one good, without changing output of other

Pareto efficiency or Pareto optimality is a state of allocation of resources from which it is impossible to reallocate so as to make any one individual or preference criterion better off without making at least one individual or preference criterion worse off.

Priority



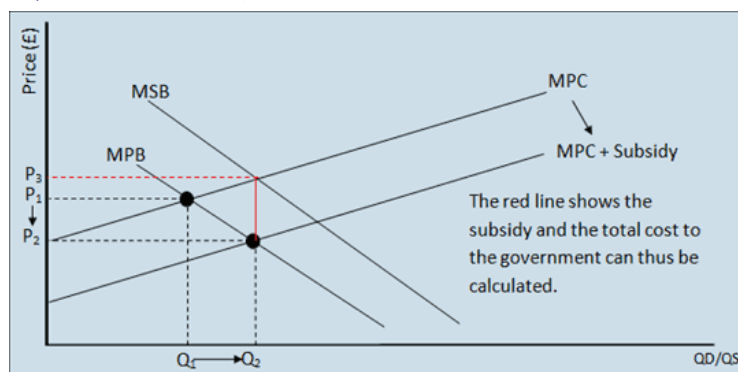
* Tariq's goods → unchanged
* Samir's goods → Increased

3 The concept of allocative efficiency assumes that each individual in society is the best judge of their own economic welfare.

Which example of government intervention is based on an argument which rejects this assumption?

- A pollution controls
- ☒ B subsidies for merit goods (imperfections exist)
- C the provision of public goods
- D the regulation of monopolies

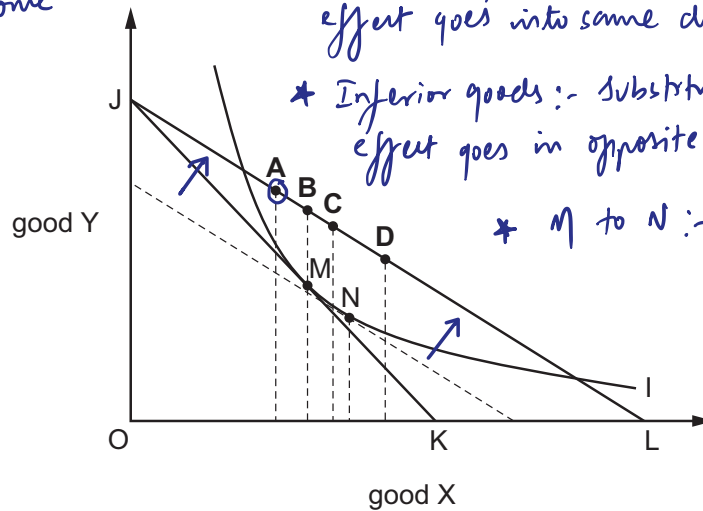
* Merit goods, existence of lack of information, underconsumption, under production, external benefit ignored, imperfection, dead weight loss, market failure, to correct, subsidies are set



- 4 In the indifference curve diagram point M is the consumer's initial equilibrium and MN is the substitution effect of a fall in the price of good X.

If good X is a Giffen good which point will be the consumer's new equilibrium point after the fall in the price of good X?

* Giffen good :- Income effect outweighs the substitution effect



* Normal goods :- substitution and income effect goes into same direction (option B)

* Inferior goods :- substitution and income effect goes in opposite direction (option C)

* M to N :- Substitution effect

- 5 To maximise the satisfaction he derives from a given level of expenditure on two goods, X and Y, a consumer should allocate his expenditure between the two goods so that

- A marginal utility of X = price of X and marginal utility of Y = price of Y.
B marginal utility of X plus marginal utility of Y is maximised.
C marginal utility of X = marginal utility of Y.

* Concept of Equi-marginal principle

☒ D $\frac{\text{marginal utility of X}}{\text{marginal utility of Y}} = \frac{\text{price of X}}{\text{price of Y}}$

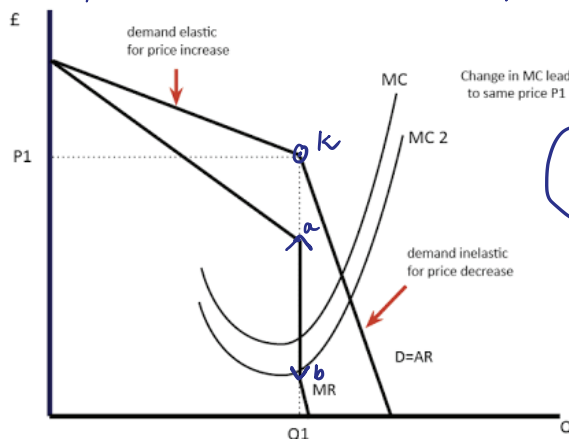
$$\frac{MU_X}{MU_Y} = \frac{P_X}{P_Y} \Rightarrow$$

$$\frac{MU_X}{P_X} = \frac{MU_Y}{P_Y}$$

- 6 Which statement about the 'kinked demand curve' model of oligopoly is incorrect?

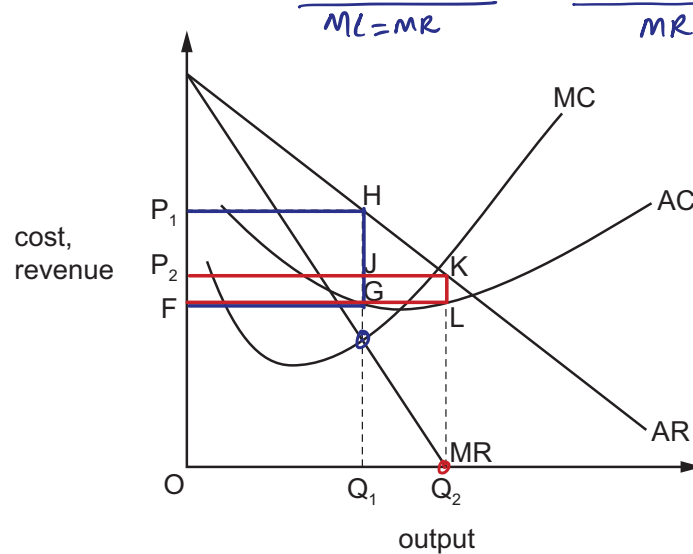
- A The kink in the demand curve of each firm is based on expectations about other firms' responses to changes in its price. [Prices ↑, no one follows] [Price ↓, industry follows]
B The marginal revenue curve of the firm has a vertical segment at the market price. (Diagram)
☒ C The model explains how the equilibrium market price is determined. [No price taker]
D The model suggests price stickiness within a certain range of marginal costs.

fixed / kink point (K) → Diagram!



a-b :- Vertical segment

- 7 A monopolist changes its objective from profit maximisation to sales revenue maximisation.



On the diagram, which areas represent the monopolist's total profit?

	Blue	Red
	original profit	final profit
A	P_1HJP_2	P_2KLF ✓
B	P_1HJP_2	JKLG
☒ C	P_1HGF ✓	P_2KLF ✓
D	P_1HGF ✓	JKLG

- 8 A firm estimates that, all else remaining unchanged, an increase in its output will result in a fall in its revenue. $Qty \uparrow TR \downarrow$ (Negative Relationship) $\Rightarrow$ Inelastic demand

What can be concluded from this? $Total\ revenue / Total\ Expenditure = Price \times Qty$

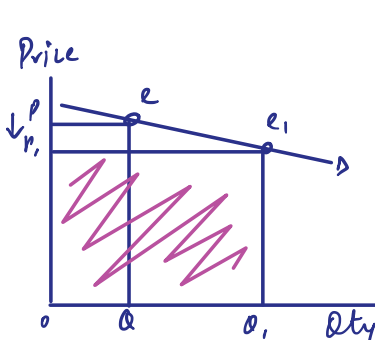
A The demand for the firm's product is price-elastic.

☒ B The demand for the firm's product is price-inelastic.

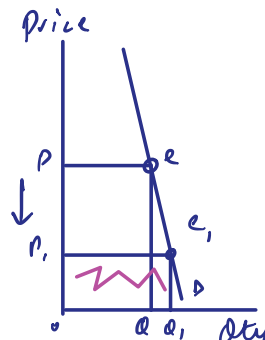
C The supply of the firm's product is price-elastic.

D The supply of the firm's product is price-inelastic.

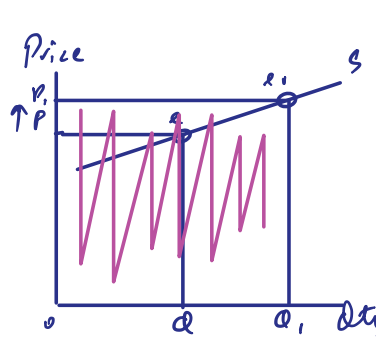
[A larger change in price brings a smaller percentage change in quantity demanded]



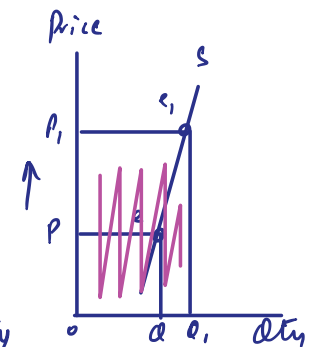
Old $TR = OP_eQ$
New $TR = OP_1e_1Q_1$
 $TR \uparrow$



Old $TR = OP_eQ$
New $TR = OP_1e_1Q_1$
 $TR \downarrow$



Old $TR = OP_eQ$
New $TR = OP_1e_1Q_1$
 $TR \uparrow$

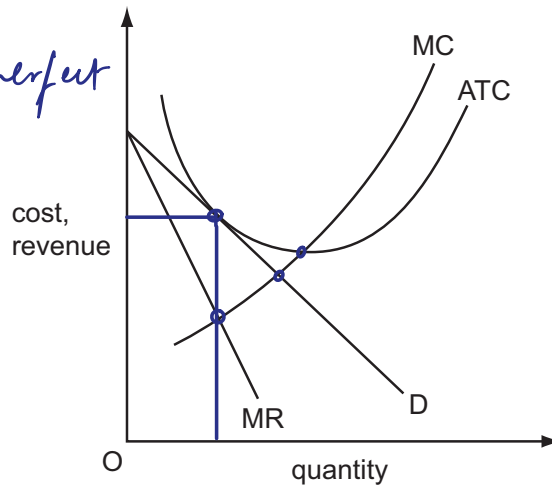


Old $TR = OP_eQ$
New $TR = OP_1e_1Q_1$
 $TR \uparrow$

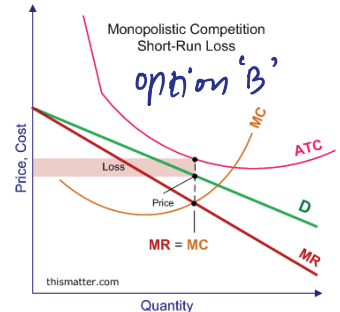
Shaded area is new total revenue or total Expenditure!

- 9 The diagram shows the cost and revenue curves of a firm. →

Normal profit
condition under imperfect
competition, due to
downward sloping
demand curve



* MR is positive :-
monopolistic
competition!



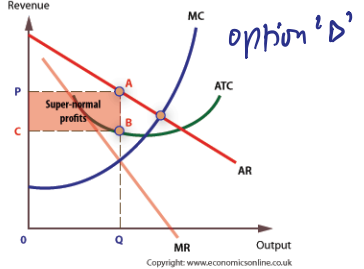
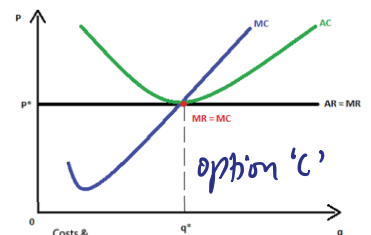
What does the diagram represent?

- ☒ A a firm in monopolistic competition making normal profit
- ☐ B a firm in monopolistic competition making short-term losses
- ☐ C a firm in perfect competition at long-run equilibrium
- ☐ D a monopoly making abnormal profits

Diversification

- 10 Which is a risk-bearing economy of scale?

- ☒ A greater bargaining power in purchasing from suppliers [Purchasing EOS]
- ☒ B greater diversification of the product range
- ☐ C lower costs in raising capital [Financial EOS]
- ☐ D lower distribution costs by increasing market share (External EOS)



- 11 A firm wishes to eliminate competition and become a monopoly.

What should it do?

- ☐ A maximise output
- ☐ B maximise profit
- ☒ C reduce prices
- ☐ D reduce the number of its suppliers

* When in competition, reducing the price is a tactic, as there will be elastic demand, which will increase quantity demanded by greater percentage, causing total revenue to increase.

6 can adjust them with change in demand, small scale

12 In many developed economies, clothes are designed by small firms and retailed by large firms.

What is the most likely explanation for this pattern?

	clothes design firms	clothes retail firms
☒ A	need to be flexible to cope with frequent fashion changes	need to exploit marketing economies of scale
☐ B	need to employ highly specialised and skilled workers (No)	need to operate at a low minimum efficient scale (Yes)
☐ C	need to operate at a high minimum efficient scale (No)	need to offer a wide range of products to survive (No)
☐ D	need to overcome high barriers to entry into the industry (No)	need to take advantage of technical economies of scale (Yes)

Extensive Branding and marketing required

Principal Agent $\Rightarrow$ conflicts!

13 What is likely to have its cause in the separation of ownership and control in a firm?

☐ A contestable markets [A monopoly being a ---]

☐ B diseconomies of scale (Average cost $\uparrow$)

☒ C principal-agent problem

☐ D prisoner's dilemma [Concept under Oligopoly]
Duopoly, pay off matrix, Bribe story, Dark night movie reference

The principal-agent problem, in political science and economics, (also known as agency dilemma or the agency problem) occurs when one person or entity (the "agent") is able to make decisions and/or take actions on behalf of, or that impact, another person or entity: the "principal". This dilemma exists in circumstances where agents are motivated to act in their own best interests, which are contrary to those of their principals, and is an example of moral hazard.

14 A firm employs a worker who adds less to output than the previous worker employed.

What does this illustrate?

☐ A decreasing marginal costs (Benefit)

(Large firm) ☐ B diseconomies of scale (Average cost $\uparrow$)

(Large firm) ☐ C increasing returns to scale (EOS)

☒ D the law of diminishing returns or Law of variable proportions!

* As you had more of your variable factor (Labour) with your fixed factor (Land and capital) of production, your total output first increases at an increasing rate then increases at decreasing rate [Diminishing returns sets in]

15 To increase the number of cleaners at a local school from 10 to 11, the employer has to raise the hourly rate of pay from \$8.00 to \$8.50.

What is the marginal cost of labour per hour to the employer?

☐ A \$0.50

☒ B \$13.50

☐ C \$88.50

☐ D \$93.50

Total cost₁₁ - Total cost₁₀ $\Rightarrow$ Marginal cost of labour per hour
 $[11 \times 8.50] - [10 \times 8] \Rightarrow \13.50

* Profit max level of employment $\Rightarrow$ $MRP = \text{Marginal cost of labour}$

* $MRP = MPP \times MR$

* $MPP = \text{Marginal physical product}$

7

MRP

16 For a firm in imperfect competition, the marginal revenue product of labour at any given level of employment is equal to MC_L

A marginal revenue divided by the number employed.

B marginal revenue divided by the wage rate.

☒ C the marginal physical product of labour multiplied by marginal revenue.

D the marginal physical product of labour multiplied by the wage rate.

17 Which policy would be most effective in achieving a more equal distribution of disposable incomes between households?

A government support for trade unions (Distribution not taking place)

B import duties on manufactured goods (No link)

C minimum wage policy (Unemployment)

☒ D progressive income taxes, taking from rich and provide to poor

Taxation policy :-

* Progressive, impact on rich!

* Regressive :- impact on poor!

18 A government regulates the price charged by a monopolist. [$\text{Marginal cost} = \text{price}$]

In which circumstance will such intervention improve economic efficiency? ($\hookrightarrow$ Allocative efficiency)

☒ A The government sets the price where average revenue equals marginal cost. (Price efficiency)

B The government sets the price where marginal cost is below average cost. (Productive efficiency)

C The intervention results in an increase in producer surplus. [DWL]

D The intervention results in predatory pricing. (Government will not encourage it) Still dead weight loss!

19 What would cause estimates of the money value of the 'Measure of Economic Welfare' for a country to be greater than the value of 'Gross National Product'?

A negative externalities such as pollution (No money value)

B property income received from abroad [$GDP + \text{Net property income from abroad} = GNP$]

C regrettable necessities (connect to output)

☒ D the value of non-marketed activities and leisure

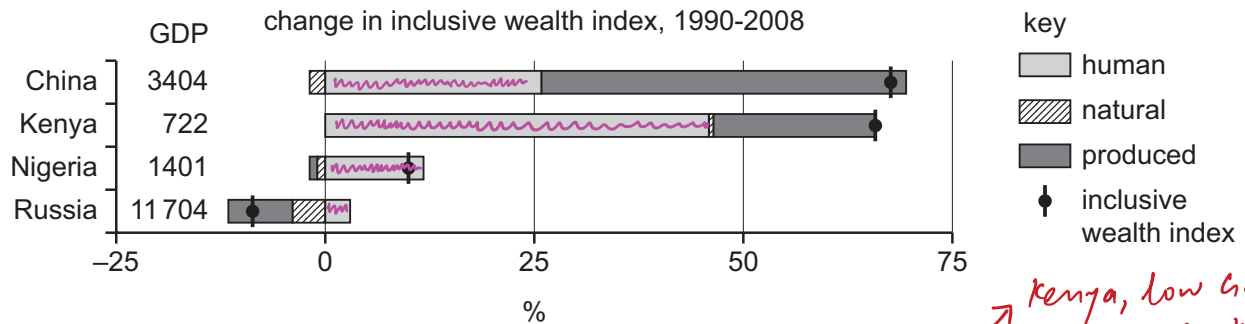
Measurable Economic Welfare (MEW) is an alternative measure for living standards. It measures not only the total national output (GDP) but also includes the economic welfare of the country. This includes an assessment of the value of leisure time and the amount of unpaid work in an economy. MEW also includes the value of the environment damage caused by industrial production and consumption.

Measure of economic welfare (MEW)

$$\text{MEW} = \text{Value of GDP} + \text{Value of leisure time} + \text{Value of unpaid work} - \text{Value of environmental damage}$$

- 20 In 2012 a United Nations report calculated the stock of wealth of 20 countries in terms of human, natural and produced resources. This was measured as the Inclusive Wealth Index (IWI).

The diagram shows the annual percentage (%) change in the IWI between 1990 and 2008 of the economies with the fastest and the slowest growth in IWI. It also shows their 2008 GDP per head (\$).



What can be concluded from the diagram?

- A A low level of GDP per head meant an inability to build stocks of wealth.
- B No country was able to prevent depletion of its natural resources. → Kenya was!
- C The faster the growth in a country's IWI the higher was its GDP. → Not in case of Kenya!
- ☒ D There was an increase in human resources in all four countries. (All in positive)

- 21 Which combination is usually found in less developed economies? → e.g. Pakistan

	low	high
A	capital : output ratio	saving ratio
B	external debt	capital : output ratio
C	population growth	external debt
☒ D	saving ratio ✓	population growth ✓

* low saving ratio because of lower earning

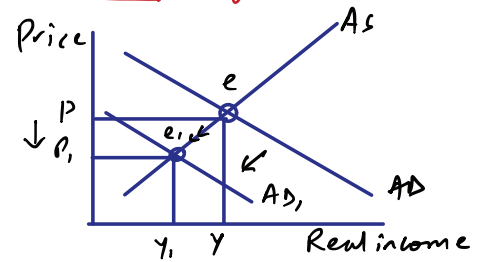
* High birth rate leads to population growth

- 22 Which change is most likely to increase both economic growth and economic development in the long run? (Impact on potential)

- A a decrease in the saving ratio (Actual ↑)
- ☒ B an increase in investment in human capital → This action is longterm benefit, Supply side policy!
- C the depletion of non-renewable resources → Actual ↑ (Short run)
- D the greater use of compulsory overtime working of labour
↳ Actual ↑ (Short run)

23 Which type of unemployment occurs when aggregate demand is deficient?

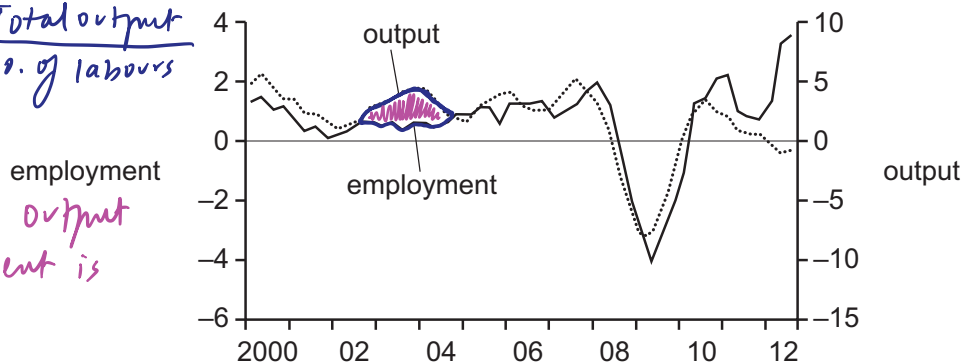
- ☒ A cyclical unemployment (AD↓)
 B regional unemployment → particular area
 C seasonal unemployment → Tourism
 D structural unemployment → Fall in demand of particular sector



24 The diagram shows the annual percentage (%) change in employment and output in the UK private sector between 2000 and 2012.

$$\text{Labour Productivity} = \frac{\text{Total output}}{\text{No. of labours}}$$

* Gap between output and employment is highest!



In which year did labour productivity increase the most?

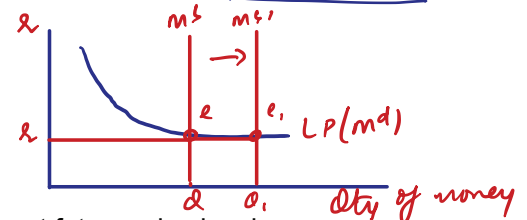
- ☒ A 2003 B 2007 C 2009 D 2012

When $md(LP)$ is horizontal!

25 According to Keynesian theory, when will an increase in the money supply leave the level of output unchanged?

- ☒ A when the liquidity trap is operative
 B when the money supply increase was not anticipated
 C when there is a floating exchange rate
 D when there is an immediate adjustment to expectations about future price levels

output changes



26 In a 4-sector economy, consisting of households, firms, government and foreign trade, the level of national income is in equilibrium where

$$C + I + G + (X - M) = Y.$$

$$C + I + G + (X - M) = Y$$

What must Y include for an equilibrium to exist?

- A $C + S + M$
☒ B $C + S + T$
 C $S + T$
 D $S + T + M$

$$Y = C + S + T + M \rightarrow \text{4 sector}$$

↓
was already there

$$C + I + G + X = C + S + T + M$$

Added already there

Deflation
AD↓ (Unemployment)
Incomes falling

10

Government Expenditure > Tax revenue

27 When would an economic recession result in an increase in a government's budget deficit?

- A The government increases tariffs on imports with inelastic demand and keeps the total amount it spends on unemployment benefit unchanged. *Tax revenue ↑*
- ☒ B The government keeps the unemployment benefit rate and direct and indirect tax rates unchanged. *[Budget surplus] Low Tax revenue*
- C The government reduces foreign aid and widens the tax base. *[Budget surplus]*
- D The government reduces the unemployment benefit rate and decreases the tax free allowance on income tax. *Govt Expenditure ↓*
(Budget surplus)

28 What will be most likely to rise if unemployment is increasing in an economy?

- A the human capital of unemployed workers *(No)*
- B the living standards of all workers *(No)*
- C the nominal money wage rate of employed workers *(No)*
- ☒ D the tax burden on employed workers *(Yes)*

Unemployment ↑
Unemployment Benefits ↑
Government spending ↑
Tax revenue ↑ on employed

29 What is most likely to result from foreign direct investment in developing economies?

- A a deterioration in the trade balances of developing economies *[It deals with financial account]*
- B a reduction in migration to urban areas in developing economies
- C a reduction in the transfer of technology to developing economies *] No!*
- ☒ D a rise in per capita levels of consumption in developing economies *[FDI, rolling in domestic economy]*

30 What will increase the multiplier effect of an increase in government spending on national income?

- A an increase in direct taxation *Tax ↑, D.Y ↓, C ↓, AD ↓, Downward multiplier*
- B an increase in interest rates *R ↑, Save ↑, Spend ↓, C ↓, AD ↓*
- ☒ C an increase in the marginal propensity to consume
- D an increase in the marginal propensity to import *mpm ↑, additional income spent on import ↑, AD ↓, Downward multiplier*

$G \uparrow, AE \uparrow, \text{multiplier} \uparrow, RNI \uparrow$

↓
Depends on MPC i.e.
marginal propensity to
consume!

e.g. 2 sector multiplier
is $\frac{1}{1-c}$ $c = 0.8$,
multiplier is '5'

if $c = 0.9$
multiplier is '10'

Higher MPC, greater Multiplier times rise in national income!